Learning Activity Week 2 Report

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UMGC: University of Maryland Global Campus

BMGT 381: Business Law II

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10/24/2024

DATE: 10/24/2024

TO: Painted Images (PI) Owners

FROM: Victoria Lee

RE: Painted Images – Negotiable Instruments

Introduction

Negotiable Instruments are important for commercial papers or signed documents promising payment to a specified person or assignee. This is crucial for Painted Images (PI) as it enables them to take the funds in cash or transfer them to another person. It is also significant to comprehend negotiable instruments so that Painted Images (PI) can resolve a situation with a PI customer. This memo addresses the concerns and problems regarding the Negotiable Instruments, liabilities, and their impact on Painted Images (PI).

Negotiable Instruments

1. Analyze and explain to PI owners who has primary liability for payment of the $200.00 check and why

   The Primary liability for the payment of a check is the drawer, which in this case is Mr. Jones. According to Advanced Business Law and the Legal Environment (2014, Chapters 13 and 14), Negotiable instruments were Bills of exchange, or drafts, based on Articles 3 and 4 of the Uniform Commercial Code (UCC). A draft is an unconditional written order by the drawer directing the drawee to pay a certain sum of money on a specific date to the payee or bearer. Negotiation is the

transfer of an instrument that the transferee becomes a holder. A person who signs a negotiable instrument with a blank endorsement has a warranty and contract liability (Advanced Business Law and the Legal Environment, 2014, Chapters 13 and 14). In most cases, the maker of a note and the acceptor of a draft are primarily liable (Advanced Business Law and the Legal Environment, 2014, Chapter 16). In other words, to be considered a negotiable instrument, there must be a written and signed agreement by the maker or drawer. The maker's or drawer's signature authenticates the legitimacy of the check and it must contain an unconditional order to pay a certain sum of money that is a fixed amount. Then the check must be payable to a specific person on a date that was agreed upon. Once signed, the person has certain liabilities with it. They are required to pay by the terms of the instrument itself, and their liability is unconditional. Based on this scenario, since Mr. Jones wrote a $200.00 check to PI in payment for a paint purchase, this makes Mr. Jones the drawer, the person who signs the check that promises to pay a fixed sum and has primary liability. Under the Uniform Commercial Code (UCC), the drawer of a check is primarily liable for ensuring that the check is honored (Advanced Business Law and the Legal Environment, 2014, Chapter 16). Since Jones wrote the check, he is responsible for making sure there are sufficient funds in his account to cover the amount. In addition, in the process of depositing Jones's check, PI properly endorsed the check and included it in the daily deposit to PI's bank, First State. This authenticates the legitimacy of the check as the $200.00 was credited to PI's bank account as it was a written check, signed by the drawer, and an unconditional order that promises to pay a fixed amount of money (Advanced Business Law and the Legal Environment, 2014,

Chapters 13 and 14). Then when the check went into the clearing process, it was presented for payment at Jones's bank, Third State to determine if Mr. Jones was honorable or dishonorable. According to Advanced Business Law and the Legal Environment (2014, Chapter 13), Bank acceptance of a check is called certification. When the check is certified, the bank guarantees that it will honor the check when presented. It can offer this guarantee because it removes from the drawer's account the face amount of the check and holds it for payment. The payee may demand payment from the bank but not from the drawer or any prior indorser of the check (Advanced Business Law and the Legal Environment, 2014, Chapter 13). Since Jones had insufficient funds in his bank account at Third State Bank, the check was dishonored, stamped as "Not Paid" and "Insufficient Funds," and the check was returned to PI's First State Bank where they deducted the $200.00 from PI's bank account and sent the dishonored check back to PI. A check is dishonored when the party obligated to pay refuses to honor it, typically due to insufficient funds or a stop payment order (Advanced Business Law and the Legal Environment, 2014, Chapters 15 and 16). Moreover, if an indorser signs a negotiable instrument without qualification, the indorser becomes a guarantor of payment. If the maker or drawer of the instrument fails to pay when it becomes due, then the indorser would risk being primarily liable to pay the full amount of the instrument (Advanced Business Law and the Legal Environment, 2014, Chapter 13). In other words, Mr. Jones is unconditionally obligated to pay the instrument upon presentment. This means that even if the payee (PI) has endorsed the check to another party and that party presented the check for payment, Mr. Jones remains primarily liable. Therefore, since Mr. Jones's bank (Third State) declared him dishonorable due

to insufficient funds, Mr. Jones is the drawer and remains primarily liable for the payment.

2. Analyze and explain to PI owners who has/had secondary liability and when that liability came into play? (Tip: There were two parties who become secondarily liable as the check moved through the system.)

Secondary liability arises when the primary party fails to fulfill its obligation which means PI (the payee) and First State(the bank) had secondary liability as they endorsed the check as it moved through the banking system. According to Advanced Business Law and the Legal Environment (2014, Chapters 13, 14, and 16), makers and acceptors are primary parties and are unconditionally liable to pay the instrument. Drawers and indorsers are secondary parties and are conditionally liable. The indorser (also spelled endorser) is one who transfers ownership of a negotiable instrument by signing it. To be a secondary liability, it is conditional and only if the primarily liable party fails to pay. In UCC Sections 3-414 and 3-415, drawers and indorsers engage to pay the amount of an unaccepted draft to any subsequent holder or indorser who takes it up. This arises if the instrument is a dishonor, or a notice of dishonor is given to the drawer or indorser. A depositor indorses a check when presenting it for deposit by signing it on the back. The bank deposits its own funds, in the amount of the check, to the depositor's account. By indorsing it, the depositor transfers ownership of the check to the bank. The depositor's bank then can present it to the drawer's bank for repayment from the drawer's funds. The indorsee is the one to whom a draft or note is indorsed. When a check is deposited in a bank, the bank is the indorsee (Advanced Business Law and the Legal Environment, 2014, Chapters 13, 14, and 16). In other words, since Painted

Images (PI) is the payee who endorsed the check to deposit it into their account, they became secondarily liable. An endorser guarantees payment of the check if the drawer fails to pay and this liability arises when the check is presented for payment and dishonored. If an indorser signs a negotiable instrument with a restrictive indorsement, it is only conditionally liable. This would make the indorser only liable to pay the instrument if the maker or drawer fails to pay and the holder has presented the instrument for payment to the maker or drawer and has given the indorser notice of dishonor (Advanced Business Law and the Legal Environment, 2014, Chapter 13). Painted Images (PI) endorsed the check when it was deposited in First State Bank. This means when it was in the process of depositing Jones's check, PI properly endorsed the check and included it in the daily deposit to PI's bank, First State. It then made Mr. Jones's check for $200.00 to be credited to PI's bank account and then went into the clearing process and was presented for payment at Jones's bank, Third State. If PI had transferred the check to another party or bank, they would have conditional liability to honor the check if Jones failed to do so. This means that if Mr. Jones fails to pay the check and PI cannot recover the funds from him, PI may be liable to pay the check to its bank, First State. In other words, if the check bounces, First State Bank deducts the amount from PI's account and returns the dishonored check to PI. Furthermore, while not mentioned in the facts, it's likely that First State Bank, as the intermediary bank, also endorsed the check that would make them secondarily liable as well. The First State Bank accepted the check for deposit and credited PI's account. Based on the facts, First State deducted the $200.00 from PI's bank account and sent the dishonored check back to PI. This means that if PI cannot recover the funds from

Mr. Jones or from another party, First State may be liable to the presenting bank (Third State) for the amount of the check. In other words, if the check is dishonored due to insufficient funds, Third State Bank returns the dishonored check to First State Bank. Therefore, the secondary liabilities to the two parties are PI as the payee, the First or Third State Bank due to the endorsed dishonored check that was sent back.

3. Analyze and explain to PI owners to whom PI should go to ultimately recover the $200.00 and why.

Painted Images (PI) should ultimately try to recover the $200.00 from Mr. Jones. As the drawer and primarily liable party, Mr. Jones is responsible for making good on the check or directly liable for payment. For an instrument to be negotiable it must be a written document, signed by the maker or drawer, an unconditional order that promises to pay a fixed amount of money, payable on demand or at a definite time, signed by the maker, and payable to the bearer (Advanced Business Law and the Legal Environment, 2014, Chapters 13 and 14). Based on this scenario, since Mr. Jones wrote a $200.00 check to Painted Images (PI) in payment for a paint purchase, this makes Mr. Jones the drawer and has primary liability. Under the Uniform Commercial Code (UCC), the drawer of a check is primarily liable for ensuring that the check is honored. Since Jones wrote the check, he is responsible for making sure there are sufficient funds in his account to cover the amount. In addition, in the process of depositing Jones's check, PI properly endorsed the check and included it in the daily deposit to PI's bank, First State. This authenticates the legitimacy of the check as the $200.00 was credited to PI's bank account as it was a written check, signed by the drawer, and an unconditional order that promises to pay a fixed amount of money

(Advanced Business Law and the Legal Environment, 2014, Chapters 13 and 14). Since Jones had insufficient funds in his bank account at Third State Bank, the check was dishonored, stamped as “Not Paid” and “Insufficient Funds,” and the check was returned to PI’s First State Bank where they deducted the $200.00 from PI’s bank account and sent the dishonored check back to PI. A risk of dishonor is where the party obligated to pay may refuse to honor the check due to insufficient funds or a stop payment order (Advanced Business Law and the Legal Environment, 2014, Chapters 15 and 16). Mr. Jones is also responsible for ensuring that his account has sufficient funds. Jones's failure to ensure sufficient funds means he remains responsible for the debt. Painted Images (PI) should contact Mr. Jones to request payment of the $200.00. While PI could potentially seek reimbursement from the endorsers or First State Bank, it’s generally more efficient and effective to pursue the drawer directly. The endorsers may have a claim against the drawer for reimbursement if they pay the check. If Mr. Jones fails to pay, PI may have to consider legal action, such as filing a lawsuit to recover the debt. PI can pursue a secondary liability against First State such as a small court claim or hiring a collection agency. PI could also hire a collection agency to recover the funds if direct contact with Mr. Jones proves unfruitful. However, this would likely be a more complex and time-consuming process, and there's no guarantee of success. Therefore, this breakdown should help the PI owners fully understand the responsibilities and liabilities related to negotiable instruments, ensuring they know the correct steps to take when a customer’s check bounces and recovers the funds back.

Conclusion

To mitigate these risks associated with negotiable instruments, Painted Images (PI) should implement various measures such as authenticating instruments, securing them, training employees to detect forgery, and enhancing data security for payment processing systems. Additionally, PI should comply with the regulations and procedures outlined in the Uniform Commercial Code (UCC), including the requirements for a negotiable instrument. By taking these precautions, PI can gain the benefits of flexibility while preventing risks, financial losses, and possible liabilities related to negotiable instruments. Therefore, this memo covers the concerns regarding the scenario of PI's customer Mr. Jones, and the liabilities related to the negotiable instruments.

References

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